NIFTY 50 OPTIONS ALGORITHMIC TRADING PLATFORM

STRATEGY DEVELOPER CANONICAL RULEBOOK SIGN-OFF SPECIFICATION

Document ID: SIGNOFF-REQ-2026-V1

Target System: 5paisa-options Algorithmic Engine

Target Strategies: PDS M1, ORB M1, IRF M2, PDR Retest

Excluded Strategy: RF (Permanently Disabled)

Required Action: Formally confirm explicit numerical parameters below

Paper Trading Gate: STRICT NO-GO until signed off

Executive Notice to Strategy Developer: The algorithmic trading platform has completed full historical signal reproduction (360 verified signals; 288 FIFO portfolio trades). However, **100% of portfolio trades currently rely on heuristic proxies** for qualitative rules in the rulebook PDFs. To authorize prospective paper trading without introducing unauthorized developer bias, please check the binding mathematical definitions below.

1. Previous Day Support (PDS Method 1) & Resistance (PDR Retest Bounce)

Question 1.1 — Reference Zone Construction: How is yesterday's support/resistance zone bounded?

[ ] **Option A (Canonical 5m Extreme):** High and low of the single lowest 5m candle (PDS) or highest 5m candle (PDR).
[ ] **Option B (Consolidation Cluster):** High/low range of the 30-minute consolidation around the daily extreme.
[ ] **Option C (Extreme Price Only):** Single horizontal price line (Daily Low for PDS; Daily High for PDR).

Question 1.2 — Retest Proximity Distance: What numerical tolerance constitutes a valid zone retest if the candle does not intersect the zone?

[ ] **Option A (Physical Touch):** High/Low wick must physically intersect the zone boundaries (0.0 pt buffer).
[ ] **Option B (Strict Proximity):** Within 5.0 index points of the zone boundary.
[ ] **Option C (Current Engine Heuristic):** Within 10.0 index points of the zone boundary.

Question 1.3 — Stop-Loss Selection Rule: Rulebook states '35 or 40 points based on recent candle'. What is the exact formula?

[ ] **Option A:** If distance from Entry to recent candle extreme ≤ 35.0 pts → SL = 35 pts; else SL = 40 pts.
[ ] **Option B:** Fixed 35 points on all trades.
[ ] **Option C:** Fixed 40 points on all trades.

Strategy	Date	Signal Time	Ref Spot	Zone Bounds	Rule Evaluation	Outcome
PDS M1	2025-09-24	09:15-09:20	25,092.30	[25,055.00 - 25,078.00]	Rally tested zone; Red candle rejection	STOP_LOSS (-40.5 pts)
PDS M1	2025-12-26	09:30-09:35	26,109.35	[26,105.00 - 26,120.00]	Zone retest rejection confirmed	TARGET (+70.0 pts)
PDR Bounce	2025-09-02	09:25-09:30	24,653.55	[24,620.00 - 24,645.00]	Pullback dipped into prior res; green bounce	TARGET (+70.0 pts)
PDR Bounce	2025-09-08	09:35-09:40	24,835.25	[24,810.00 - 24,830.00]	Retest bounce confirmed	STOP_LOSS (-35.5 pts)

2. Opening Range Breakout (ORB Method 1: PDH/PDL)

Question 2.1 — Established Trend Definition: Rulebook states 'trade only in direction of established trend'. What is the mechanical rule?

[ ] **Option A (Current Heuristic):** Price at 09:20 ≥ 200 EMA on 5-minute chart for Long; ≤ 200 EMA for Short.
[ ] **Option B (Daily 200 DMA):** Daily Close ≥ 200 DMA for Long; ≤ 200 DMA for Short.
[ ] **Option C (Market Structure):** Prior day higher-high/higher-low sequence.
[ ] **Option D (Pure Breakout):** Any completed 09:20 bar closing beyond PDH/PDL qualifies without a trend filter.

Question 2.2 — Candle Quality & Body Ratio: Rulebook requires 'strong body closing near extreme'. Confirm threshold:

[ ] **Option A:** Body ratio |Close - Open| / (High - Low) ≥ 50% with opposing wick ≤ 35%.
[ ] **Option B:** Close must fall within top 20% (Long) or bottom 20% (Short) of the 09:15-09:20 candle range.
[ ] **Option C:** Any green candle closing > PDH or red candle closing < PDL qualifies regardless of body size.

Date	09:20 Close	PDH / PDL	5m 200 EMA	Body %	Engine Execution	Realized Exit
2025-10-10	25,221.20	PDH 25,191.20	25,050.40	67.7%	BUY @ 25,221.60 (SL: 25,191.60)	TARGET (+60.0 pts) @ 09:45
2025-10-24	25,850.80	PDL 25,880.80	25,920.10	72.4%	SELL @ 25,850.65 (SL: 25,880.65)	STOP_LOSS (-30.5 pts) @ 09:20

3. Initial Range Failure (IRF Method 2: Extended Move Reversal)

Question 3.1 — Pullback Support Lookback: Rulebook diagrams a pullback support formed above IRH before breakdown. How is it calculated?

[ ] **Option A (Current Heuristic):** Lowest low of the preceding 5 completed bars during the extension.
[ ] **Option B (Strict 3-Bar Swing Pivot):** Bar whose Low is lower than both the preceding and following bar lows.
[ ] **Option C (Total Extension Low):** Absolute lowest low formed after the initial breakout candle above IRH.

Question 3.2 — Extension Qualification Threshold: How many bars or index points must price extend above IRH before a reversal qualifies?

[ ] **Option A:** Minimum 2 consecutive 5m closes strictly above IRH.
[ ] **Option B:** Minimum 3 consecutive 5m closes strictly above IRH.
[ ] **Option C:** Price must extend at least 20 index points above IRH regardless of candle count.

4. Reverse Failure (RF Strategy) Status Confirmation

Status: PERMANENTLY DISABLED. The author PDF (RF strategy.pdf) completely omits canonical stop-loss, profit target, and trailing rules. Baseline backtests used an arbitrary 40pt SL / 80pt TP proxy. RF will remain 100% disabled from prospective paper and live trading until an official addendum is provided.

Strategy Developer Name: _____

Signature: _____

Title / Role: _____

Date of Sign-Off: _____

Formal Authorization Verdict:
[ ] **APPROVED FOR SUPERVISED PAPER TRADING** with confirmed parameters above.
[ ] **RESTRICT TO SHADOW LOGGING ONLY** until further research.

Lead Quant Engineer Verification:
Antigravity Quantitative Risk Team
Verified No Real Broker Orders Active